AT&T Inc. (NYSE: T US)

Institutional Equity Research Report

RECOMMENDATION	**BUY**
CURRENT MARKET PRICE	**$ 21.52**
TARGET PRICE	**$ 36.31**
IMPLIED UPSIDE	**+69%**

Investment Highlights

✓ Stable recurring wireless and fibre revenues ✓ Strong free cash flow supporting dividend sustainability

✓ Ongoing debt reduction and balance sheet improvement ✓ Expanding fibre network and 5G infrastructure

✓ Trading below estimated intrinsic value

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EXECUTIVE SUMMARY

A. Investment Case

Our investment thesis is centred around AT&T's transformation into a focused, cash-generative telecommunications company supported by resilient recurring revenues, expanding fibre infrastructure and improving shareholder returns. Following the strategic divestiture of its media assets, management has successfully repositioned the business around its core wireless and broadband operations, enabling greater operational efficiency, disciplined capital allocation and stronger free cash flow generation. The telecommunications sector continues to benefit from structural demand for high-speed connectivity, while AT&T's continued investment in fibre and 5G infrastructure strengthens its competitive positioning and supports long-term customer growth.

Furthermore, AT&T aligns closely with our value-investing philosophy of identifying fundamentally strong companies trading at attractive valuations while providing sustainable dividend income. Despite modest revenue growth expectations, the company continues to demonstrate resilient operating performance, stable recurring cash flows and improving returns on capital. We believe the current market valuation does not adequately reflect the intrinsic value of the business or its long-term cash-generating capability.

B. Catalyst

Several catalysts are expected to support shareholder value creation over the investment horizon. Continued expansion of AT&T's nationwide fibre network and 5G infrastructure is expected to drive subscriber additions, improve customer retention and support higher average revenue per user. Management's ongoing focus on cost optimisation, disciplined capital expenditure and debt reduction should contribute to further margin expansion and improved financial flexibility. Additionally, sustained free cash flow generation provides capacity to maintain attractive shareholder distributions while continuing to invest in strategic network expansion, supporting a gradual re-rating of the company's valuation.

C. Fundamentals

Our analysis of AT&T's business, industry and financial statements reveals a financially resilient telecommunications company supported by stable recurring revenues and predictable cash generation. Revenue is forecast to increase to approximately **USD 129.4 billion in FY2026**, representing continued growth from current operating levels as fibre and mobility services remain the primary drivers of performance. Gross profit is projected to exceed **USD 78.2 billion**, while operating profitability remains stable, supported by disciplined cost management and operating leverage.

The company is expected to generate **EBITDA of approximately USD 34.9 billion in FY2026**, corresponding to an **EBITDA margin of approximately 27.8%**, demonstrating the stability of its operating cash flows despite operating in a mature industry. Free Cash Flow to the Firm is projected at approximately **USD 11.9 billion**, providing sufficient financial flexibility to fund capital expenditure, continue reducing leverage and sustain shareholder distributions. Profitability also continues to improve, with **Return on Common Equity increasing to approximately 20.4% during FY2025**, reflecting stronger earnings generation and more efficient capital deployment. Combined with its attractive dividend yield, defensive business model and improving financial performance, these fundamentals reinforce our conviction that AT&T represents a compelling long-term value investment.

D. Valuation

Our valuation incorporates both an intrinsic valuation approach using the **Discounted Cash Flow (Perpetuity Growth)** methodology and a market-based **EV/EBITDA Multiple** valuation. The intrinsic valuation estimates a fair value of approximately **USD 36.31 per share**, compared with the current market price of approximately **USD 21.52**, implying an upside potential of approximately **69%**. Although the EV/EBITDA approach produces a more conservative valuation, both methodologies suggest that the company continues to trade below its long-term intrinsic value. Given AT&T's stable recurring cash flows, defensive business model and predictable earnings profile, greater emphasis has been placed on the intrinsic valuation methodology when determining fair value.

E. Recommendation Summary

Our recommendation is **BUY**.

AT&T combines resilient operating fundamentals, predictable recurring cash flows, attractive dividend income and improving capital efficiency within a defensive telecommunications industry. The company's continued investment in fibre infrastructure, expansion of its 5G network and disciplined balance sheet management position it well to deliver sustainable long-term shareholder returns. While revenue growth is expected to remain moderate, improving profitability, healthy free cash flow generation and an attractive valuation provide a favourable risk-return profile.

Accordingly, we recommend accumulating the stock at current market levels with a **long-term investment horizon of three to five years**. We believe AT&T offers an attractive opportunity for investors seeking a combination of capital appreciation, stable income and downside resilience within a diversified value-oriented equity portfolio.

BUSINESS ANALYSIS

A. Business Overview

Founded in **1885**, AT&T Inc. is one of the world's largest integrated telecommunications companies and a leading provider of wireless communications, broadband connectivity and business networking solutions. Following the strategic separation of its media assets, the company has repositioned itself as a pure-play telecommunications operator, focusing on delivering reliable wireless and fibre connectivity across the United States. Today, AT&T primarily generates revenue through three operating segments: **Communications**, **Business Wireline**, and **Consumer Wireline**, with wireless mobility services remaining the company's largest contributor to revenue and operating income.

The company's extensive nationwide wireless network, expanding fibre infrastructure and diversified enterprise customer base provide recurring subscription-based revenues, resulting in predictable cash flows and earnings stability. Supported by a subscriber base exceeding one hundred million wireless connections and continued investment in network infrastructure, AT&T maintains a strong competitive position within one of the largest telecommunications markets globally.

B. Strategy & Key Value Drivers

AT&T's long-term strategy is centred on strengthening its position as a leading provider of premium wireless and fibre connectivity while improving shareholder value through disciplined capital allocation and operational efficiency. The company's principal value drivers include:

- **Expansion of Fibre Infrastructure:** AT&T continues to invest heavily in fibre deployment across underserved and high-demand markets. Fibre broadband delivers higher customer lifetime value, lower churn rates and superior operating margins compared with traditional broadband services, supporting sustainable long-term revenue growth.
- **5G Network Monetisation:** Continued expansion of the nationwide 5G network enables AT&T to improve customer acquisition, increase average revenue per user (ARPU) and strengthen its competitive position against Verizon and T-Mobile. Higher network quality and broader coverage also enhance customer retention.
- **Recurring Subscription-Based Revenue Model:** Unlike cyclical industries, telecommunications services generate highly predictable recurring revenues through monthly subscription contracts. This provides earnings visibility, stable operating cash flows and greater resilience during periods of economic uncertainty.
- **Disciplined Capital Allocation:** Following the divestiture of non-core businesses, management has prioritised debt reduction, targeted capital expenditure and sustainable shareholder distributions. Continued deleveraging is expected to improve financial flexibility while lowering financing costs over the long term.

C. Business Moat & Sustainable Competitive Advantage

AT&T possesses several sustainable competitive advantages that reinforce its long-term market position and support stable shareholder returns.

- **Nationwide Network Infrastructure:** The company owns one of the largest wireless and fibre networks in the United States. Replicating this infrastructure would require substantial capital investment, creating significant barriers to entry for potential competitors.

- **Economies of Scale:** With millions of wireless and broadband subscribers, AT&T benefits from considerable operating leverage, allowing network investment and fixed operating costs to be distributed across a large customer base, thereby improving long-term profitability.
- **High Switching Costs and Customer Retention:** Telecommunications services are characterised by relatively high switching costs due to bundled service offerings, long-standing customer relationships and integrated enterprise contracts. These factors contribute to stable customer retention and predictable recurring revenues.
- **Strong Brand Recognition:** As one of the most established telecommunications providers in the United States, AT&T benefits from a trusted brand, nationwide distribution network and long-standing enterprise relationships that support continued subscriber growth and customer loyalty.

D. SWOT Analysis

Strengths

- Market-leading wireless and fibre network with nationwide coverage
- Predictable subscription revenue driving stable cash flow
- Attractive dividend backed by resilient free cash flow
- Strong brand across consumer and enterprise markets
- Improving balance sheet via debt reduction

Weaknesses

- Modest growth in a mature US telecom market
- Capital-intensive: continuous spectrum, fibre and network spend
- High leverage increases sensitivity to interest rates
- Limited geographic diversification outside the US

Opportunities

- Fibre expansion into underserved markets
- Rising demand for connectivity from cloud and AI
- 5G monetisation via premium and enterprise services
- Efficiency gains supporting further debt reduction

Threats

- Intense competition from Verizon and T-Mobile
- Sustained capex needed to keep pace with technology
- Regulatory risk around spectrum and pricing policy
- Emerging satellite broadband as an alternative

INDUSTRY ANALYSIS

A. Sector Outlook

The U.S. telecommunications industry remains one of the most stable and defensive sectors within the equity market, supported by recurring consumer demand for wireless connectivity, broadband services and digital communication infrastructure. Increasing digitalisation, cloud computing, remote working, artificial intelligence and the rapid growth of connected devices continue to drive long-term demand for reliable, high-speed network infrastructure.

The next phase of industry growth is expected to be driven primarily by continued fibre broadband expansion and the commercial monetisation of fifth-generation (5G) wireless networks. Fibre penetration continues to increase as consumers demand faster internet speeds, while enterprise customers are investing heavily in digital transformation initiatives requiring secure and low-latency connectivity. These structural trends provide long-term growth opportunities for established network operators with significant infrastructure assets.

As one of the largest telecommunications providers in the United States, AT&T is well positioned to benefit from these industry tailwinds through its extensive wireless network, continued fibre deployment and expanding enterprise connectivity solutions. Although industry revenue growth is expected to remain moderate, the sector's recurring revenue model, predictable cash flows and defensive characteristics continue to make it attractive for long-term investors seeking stable earnings and dividend income.

B. Business Cycle

Unlike cyclical industries such as automotive, construction or consumer discretionary, the telecommunications industry demonstrates relatively low sensitivity to economic fluctuations due to the essential nature of its services. Mobile connectivity, broadband access and enterprise communication solutions have become fundamental necessities for both households and businesses, resulting in resilient demand across varying economic conditions.

AT&T currently operates within the **maturity stage** of the industry life cycle. Revenue growth is expected to remain relatively modest; however, management's strategic focus has shifted towards improving profitability, increasing operational efficiency and expanding higher-margin fibre services rather than pursuing aggressive top-line growth. Consequently, shareholder value creation is expected to be driven primarily through free cash flow generation, dividend income, debt reduction and disciplined capital allocation rather than rapid revenue expansion.

While economic slowdowns may moderately affect enterprise spending and consumer upgrades to premium wireless plans, the company's recurring subscription-based revenue model provides substantial earnings visibility and supports resilient operating cash flows throughout the business cycle.

C. Supply Chain Analysis

AT&T operates one of the largest telecommunications infrastructure networks in the United States, requiring a highly integrated supply chain comprising network equipment manufacturers, semiconductor suppliers, fibre-optic component providers, software vendors and infrastructure contractors. Long-term strategic partnerships with global technology providers enable the company to maintain network reliability while supporting continued expansion of its wireless and fibre infrastructure.

The ongoing deployment of fibre broadband and 5G services requires significant capital investment in telecommunications equipment, optical fibre networks, spectrum utilisation and data centre infrastructure. Consequently, efficient supply chain management remains critical in ensuring timely network deployment, controlling capital expenditure and maintaining service quality.

Although recent global supply chain disruptions and semiconductor shortages temporarily affected network equipment availability, conditions have improved considerably. Nevertheless, geopolitical tensions, trade restrictions and potential disruptions within semiconductor supply chains remain key operational risks that could delay future infrastructure expansion or increase equipment procurement costs. AT&T's scale, established supplier relationships and diversified procurement strategy significantly mitigate these risks while supporting continued network investment.

D. Peer Analysis

Ticker	Name	Mkt Cap (USD)	EV	EV/EBITDA	P/E	P/FCF	Dividend Yield
T US Equity	AT&T INC	159317.9664	322631	9.023885167	12.25643951	9.30798585	4.772141076
T CN Equity	TELUS CORP	15011.98506	36743.57	9.349246539	84.90871434	8.66663667	12.49252592
TMUS US Equity	T-MOBILE US INC	185262.2258	301876.2	8.608310307	15.33832427	10.37003835	2.281941421
RCI/B CN Equity	ROGERS COMMUNICATIONS INC-B	18324.70915	53700.6	7.399744606	3.967400033	9.226480208	4.214075011
BCE CN Equity	BCE INC	20206.72027	52589.92	6.828202016	11.09264156	10.27054154	5.754685959
VZ US Equity	VERIZON COMMUNICATIONS INC	194485.0272	382467	7.580536144	10.73712786	9.144786805	5.969671244
LUMN US Equity	LUMEN TECHNOLOGIES INC	6573.384627	18488.38	6.051844395	#N/A N/A	14.25257979	#N/A N/A
CCOI US Equity	COGENT COMMUNICATIONS HOLDIN	676.381914	3197.865	12.7380617	#N/A N/A	#N/A N/A	7.962963316

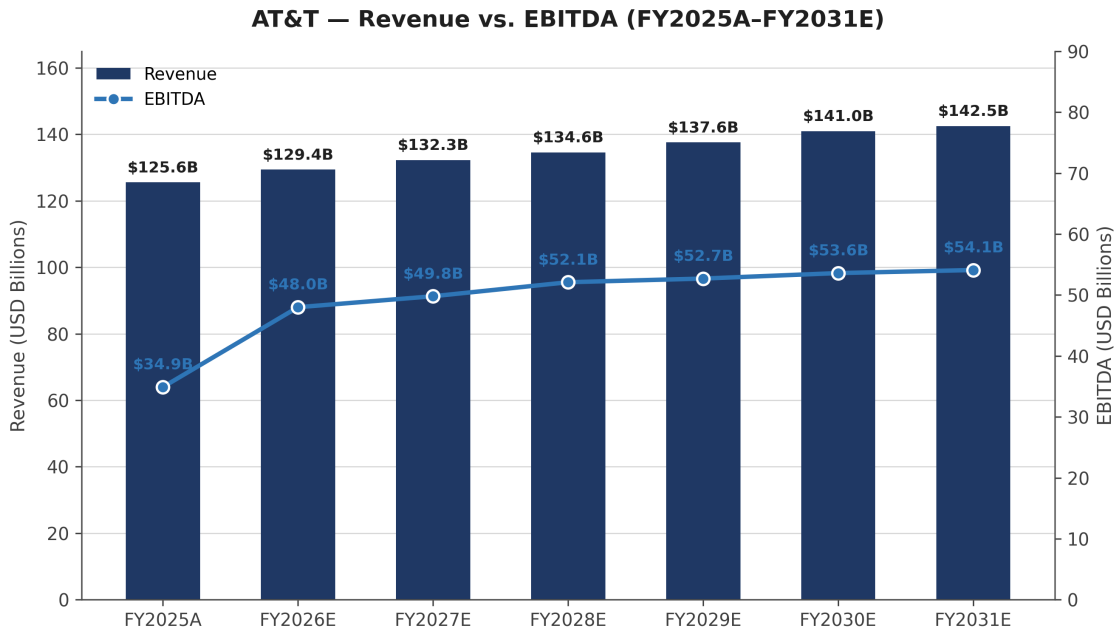
FUNDAMENTAL ANALYSIS

A. Income Statement Analysis

AT&T's forecast income statement demonstrates a business transitioning from stabilisation to sustainable earnings growth. Revenue is projected to increase from **USD 125.6 billion in FY2025** to **USD 129.4 billion in FY2026**, before continuing its upward trajectory to **USD 132.3 billion in FY2027**, **USD 134.6 billion in FY2028**, **USD 137.6 billion in FY2029**, **USD 141.0 billion in FY2030**, and reaching approximately **USD 142.5 billion by FY2031**. This represents a cumulative increase of approximately **13.4%** over the explicit forecast period, primarily driven by continued fibre penetration, wireless subscriber growth and increasing monetisation of the company's 5G network.

While revenue growth remains relatively modest, the quality of earnings improves significantly throughout the forecast horizon. Gross profit is forecast to increase from **USD 74.8 billion in FY2025** to **USD 78.2 billion in FY2026**, before reaching approximately **USD 81.6 billion in FY2027**, **USD 83.9 billion in FY2028**, **USD 85.8 billion in FY2029**, **USD 88.0 billion in FY2030** and **USD 88.9 billion in FY2031**. Consequently, **gross margins expand from approximately 59.6% in FY2025 to over 62.4% by FY2031**, reflecting continued improvements in operating efficiency and a greater contribution from higher-margin wireless and fibre services.

Operating profitability follows a similar trend. EBITDA is projected to recover from **USD 34.9 billion in FY2025** to approximately **USD 48.0 billion in FY2026**, increasing further to **USD 49.8 billion in FY2027**, **USD 52.1 billion in FY2028**, **USD 52.7 billion in FY2029**, **USD 53.6 billion in FY2030**, and **USD 54.1 billion by FY2031**. Over the same period, **EBITDA margins improve from 27.8% to approximately 38.0%**, demonstrating management's continued success in improving operating efficiency despite operating within a mature telecommunications industry. The combination of stable revenue growth, expanding margins and improving earnings quality provides strong support for our positive long-term investment thesis.



AT&T Inc (T US) - BBG Adjusted										
In Millions of USD except Per Share 12 Months Ending	FY 2019 12/31/2019	FY 2020 12/31/2020	FY 2021 12/31/2021	FY 2022 12/31/2022	FY 2023 12/31/2023	FY 2024 12/31/2024	FY 2025 12/31/2025	Last 12M 03/31/2026	FY 2026 Est 12/31/2026	FY 2027 Est 12/31/2027
Revenue	**181,193.0**	**171,760.0**	**134,038.0**	**120,741.0**	**122,428.0**	**122,336.0**	**125,648.0**	**126,528.0**	**129,395.5**	**132,287.3**
+ Sales & Services Revenue	181,193.0	171,760.0	134,038.0	120,741.0	122,428.0	122,336.0	125,648.0	126,528.0		
- Cost of Revenue	84,141.0	79,920.0	60,407.0	50,848.0	50,123.0	49,221.0	50,820.0	51,353.0		
+ Cost of Goods & Services	84,141.0	79,920.0	60,407.0	50,848.0	50,123.0	49,221.0	50,820.0	51,353.0		
Gross Profit	**97,052.0**	**91,840.0**	**73,631.0**	**69,893.0**	**72,305.0**	**73,115.0**	**74,828.0**	**75,175.0**	**78,235.1**	**81,649.0**
+ Other Operating Income	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
- Operating Expenses	65,247.0	64,111.0	47,480.0	46,557.0	47,682.0	48,855.0	60,822.0	60,714.0		
+ Selling, General & Admin	39,422.0	38,039.0	29,669.0	28,961.0	28,874.0	28,411.0	28,942.0	29,113.0		
+ Research & Development	0.0	0.0	0.0	0.0	0.0	0.0	0.0			
+ Depreciation & Amortization	28,217.0	28,516.0	17,852.0	18,021.0	18,777.0	20,580.0	20,886.0	20,662.0		
+ Other Operating Expense	-2,392.0	-2,444.0	-41.0	-425.0	31.0	-136.0	10,994.0	10,939.0		
Operating Income (Loss)	**31,805.0**	**27,729.0**	**26,151.0**	**23,336.0**	**24,623.0**	**24,260.0**	**14,006.0**	**14,461.0**	**27,711.9**	**29,509.4**
- Non-Operating (Income) Loss	10,194.0	9,261.0	-2,853.0	-2,735.0	1,629.0	2,139.0	2,462.0	-1,491.0		
+ Interest Expense, Net	8,422.0	7,925.0	6,716.0	6,108.0	6,704.0	6,759.0	6,804.0	1,701.0		
+ Interest Expense	*8,422.0*	*7,925.0*	*6,716.0*	*6,108.0*	*6,704.0*	*6,759.0*	*6,804.0*	*6,959.0*		
- Interest Income	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*			
+ Other Investment (Inc) Loss	—	—	—	—	—	—	—			
+ Foreign Exch (Gain) Loss	0.0	0.0	0.0	0.0	0.0	0.0	0.0			
+ (Income) Loss from Affiliates	-6.0	-95.0	-603.0	-1,791.0	-1,675.0	-1,989.0	-1,895.0	-414.0		
+ Other Non-Op (Income) Loss	1,778.0	1,431.0	-8,966.0	-7,052.0	-3,400.0	-2,631.0	-2,447.0	-7,924.0		
Pretax Income (Loss), Adjusted	**21,611.0**	**18,468.0**	**29,004.0**	**26,071.0**	**22,994.0**	**22,121.0**	**11,544.0**	**15,952.0**	**22,202.6**	**23,576.3**
- Abnormal Losses (Gains)	3,143.0	21,324.0	-167.0	29,165.0	3,146.0	5,423.0	-15,463.0	-10,462.0		
+ Merger/Acquisition Expense	1,032.0	468.0	41.0	425.0	98.0	123.0	627.0			
+ Disposal of Assets	—	-50.0	—	—	—	—	—			
+ Asset Write-Down	1,501.0	18,894.0	213.0	27,498.0	—	—	—			
+ Gain/Loss on Sale/Acquisition of Busine	—	—	—	—	—	—	-11,160.0			
+ Restructuring	624.0	1,177.0	—	—	—	—	—			
+ Sale of Investments	-707.0	—	—	—	—	80.0	-5,889.0	-5,892.0		
+ Other Abnormal Items	693.0	835.0	-421.0	1,242.0	3,048.0	5,220.0	959.0	1,111.0		
Pretax Income (Loss), GAAP	**18,468.0**	**-2,856.0**	**29,171.0**	**-3,094.0**	**19,848.0**	**16,698.0**	**27,007.0**	**26,414.0**	**22,202.6**	**23,576.3**
- Income Tax Expense (Benefit)	3,493.0	965.0	5,395.0	3,780.0	4,225.0	4,445.0	3,621.0	3,501.0		
+ Current Income Tax	1,792.0	-280.0	-2,177.0	706.0	2,769.0	3,696.0	745.0			
+ Deferred Income Tax	1,701.0	1,245.0	7,572.0	3,074.0	1,456.0	749.0	2,876.0			
Income (Loss) from Cont Ops	**14,975.0**	**-3,821.0**	**23,776.0**	**-6,874.0**	**15,623.0**	**12,253.0**	**23,386.0**	**22,913.0**	**15,715.6**	**16,750.7**
- Net Extraordinary Losses (Gains)	0.0	0.0	2,297.0	181.0	0.0	0.0	0.0	38.0		
+ Discontinued Operations	0.0	0.0	2,297.0	181.0	0.0	0.0	0.0	38.0		
+ XO & Accounting Changes	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Income (Loss) Incl. MI	**14,975.0**	**-3,821.0**	**21,479.0**	**-7,055.0**	**15,623.0**	**12,253.0**	**23,386.0**	**22,875.0**		
- Minority Interest	1,072.0	1,355.0	1,398.0	1,469.0	1,223.0	1,305.0	1,433.0	1,444.0		
Net Income, GAAP	**13,903.0**	**-5,176.0**	**20,081.0**	**-8,524.0**	**14,400.0**	**10,948.0**	**21,953.0**	**21,431.0**	**15,715.6**	**16,750.7**
- Preferred Dividends	3.0	193.0	207.0	203.0	208.0	202.0	64.0	144.0		
- Other Adjustments	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Net Income Avail to Common, GAAP	**13,900.0**	**-5,369.0**	**19,874.0**	**-8,727.0**	**14,192.0**	**10,746.0**	**21,889.0**	**21,287.0**	**15,715.6**	**16,750.7**
Net Income Avail to Common, Adj	**16,525.9**	**19,247.1**	**22,421.6**	**20,674.7**	**16,774.3**	**16,028.2**	**8,241.1**	**12,872.2**	**16,098.0**	**17,275.4**
Net Abnormal Losses (Gains)	2,625.9	24,616.1	250.6	29,220.7	2,582.3	5,282.2	-13,647.9	-8,452.8		
Net Extraordinary Losses (Gains)	0.0	0.0	2,297.0	181.0	0.0	0.0	0.0	38.0		
Basic Weighted Avg Shares	7,319.0	7,157.0	7,168.0	7,166.0	7,181.0	7,199.0	7,169.0	7,017.0		
Basic EPS, GAAP	**1.90**	**-0.75**	**2.77**	**-1.13**	**1.97**	**1.49**	**3.04**	**2.98**	**2.32**	**2.56**
Basic EPS from Cont Ops, GAAP	**1.90**	**-0.75**	**3.07**	**-1.10**	**1.97**	**1.49**	**3.04**	**2.98**	**2.32**	**2.56**
Basic EPS from Cont Ops, Adjusted	**2.26**	**2.69**	**3.13**	**2.89**	**2.34**	**2.23**	**1.15**	**1.81**	**2.32**	**2.55**
Diluted Weighted Avg Shares	7,348.0	7,183.0	7,503.0	7,587.0	7,258.0	7,204.0	7,179.0	7,027.0		
Diluted EPS, GAAP	**1.89**	**-0.75**	**2.73**	**-1.13**	**1.97**	**1.49**	**3.04**	**2.98**	**2.32**	**2.56**
Diluted EPS from Cont Ops, GAAP	**1.89**	**-0.75**	**3.02**	**-1.10**	**1.97**	**1.49**	**3.04**	**2.98**	**2.32**	**2.56**
Diluted EPS from Cont Ops, Adjusted	**2.25**	**2.68**	**3.05**	**2.75**	**2.33**	**2.22**	**1.14**	**1.80**	**2.32**	**2.55**

B. Balance Sheet Analysis

AT&T's balance sheet reflects a continued strengthening of its financial position as management prioritises debt reduction while maintaining investment in strategic network infrastructure. Total assets remain relatively stable throughout the forecast period, supported by substantial investments in fibre infrastructure, wireless spectrum and network equipment, which continue to represent the company's largest long-term competitive advantage. More importantly, the capital structure gradually improves as retained earnings strengthen shareholder equity while outstanding borrowings continue to decline.

Total debt is forecast to decline steadily throughout the projection period, reflecting management's commitment to deleveraging through strong recurring cash flow generation. At the same time, shareholders' equity continues to improve, resulting in a gradual reduction in leverage and strengthening financial flexibility. This improvement enhances AT&T's ability to finance future fibre expansion, spectrum investment and technological upgrades without materially increasing financial risk. The company's substantial asset base and improving balance sheet provide a strong foundation for sustainable long-term growth while reinforcing the stability of its dividend policy.

AT&T Inc (T US) - Standardized

In Millions of USD except Per Share 12 Months Ending	FY 2016 12/31/2016	FY 2017 12/31/2017	FY 2018 12/31/2018	FY 2019 12/31/2019	FY 2020 12/31/2020	FY 2021 12/31/2021	FY 2022 12/31/2022	FY 2023 12/31/2023	FY 2024 12/31/2024	FY 2025 12/31/2025
Total Assets										
+ Cash, Cash Equivalents & STI	5,788.0	50,498.0	5,204.0	12,130.0	9,740.0	19,223.0	3,701.0	6,722.0	3,298.0	18,234.0
+ Cash & Cash Equivalents	5,788.0	50,498.0	5,204.0	12,130.0	9,740.0	19,223.0	3,701.0	6,722.0	3,298.0	18,234.0
+ ST Investments	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Accounts & Notes Receiv	16,794.0	16,522.0	26,472.0	22,636.0	20,215.0	12,313.0	11,466.0	10,289.0	9,638.0	8,843.0
+ Accounts Receivable, Net	16,794.0	16,522.0	26,472.0	22,636.0	20,215.0	12,313.0	11,466.0	10,289.0	9,638.0	8,843.0
+ Notes Receivable, Net	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Unbilled Revenues	—	—	—	1,611.0	2,054.0	2,582.0	2,941.0	3,549.0	3,845.0	4,131.0
+ Inventories	0.0	0.0	0.0	0.0	3,695.0	3,325.0	3,123.0	2,177.0	2,270.0	2,420.0
+ Raw Materials	0.0	0.0	0.0	0.0	—	—	—	—	—	—
+ Work In Process	0.0	0.0	0.0	0.0	—	—	—	—	—	—
+ Finished Goods	0.0	0.0	0.0	0.0	—	—	—	—	—	—
+ Other Inventory	0.0	0.0	0.0	0.0	—	—	—	—	—	—
+ Other ST Assets	15,787.0	12,126.0	19,751.0	18,384.0	16,304.0	133,325.0	11,877.0	13,721.0	12,117.0	15,104.0
+ Prepaid Expenses	1,555.0	1,369.0	2,047.0	1,631.0	—	—	—	—	—	—
+ Derivative & Hedging Assets	—	—	0.0	13.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Discontinued Operations	—	—	—	—	—	119,776.0	0.0	0.0	—	—
+ Misc ST Assets	14,232.0	10,757.0	17,704.0	16,740.0	16,304.0	13,549.0	11,877.0	13,721.0	12,117.0	15,104.0
Total Current Assets	**38,369.0**	**79,146.0**	**51,427.0**	**54,761.0**	**52,008.0**	**170,768.0**	**33,108.0**	**36,458.0**	**31,168.0**	**48,732.0**
+ Property, Plant & Equip, Net	124,899.0	125,222.0	131,473.0	154,167.0	152,029.0	143,473.0	149,259.0	149,394.0	149,780.0	154,201.0
+ Property, Plant & Equip	319,648.0	313,499.0	330,690.0	357,577.0	352,465.0	346,437.0	351,444.0	360,796.0	371,823.0	370,212.0
- Accumulated Depreciation	194,749.0	188,277.0	199,217.0	203,410.0	200,436.0	202,964.0	202,185.0	211,402.0	222,043.0	216,011.0
+ LT Investments & Receivables	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Other LT Assets	240,553.0	239,729.0	348,964.0	342,741.0	321,724.0	237,381.0	220,486.0	221,208.0	213,847.0	217,265.0
+ Total Intangible Assets	222,067.0	219,725.0	310,197.0	303,858.0	281,575.0	211,961.0	197,341.0	200,356.0	195,722.0	196,827.0
+ *Goodwill*	*105,207.0*	*105,449.0*	*146,370.0*	*146,241.0*	*135,259.0*	*92,740.0*	*67,895.0*	*67,854.0*	*63,432.0*	*63,425.0*
+ *Other Intangible Assets*	*116,860.0*	*114,276.0*	*163,827.0*	*157,617.0*	*146,316.0*	*119,221.0*	*129,446.0*	*132,502.0*	*132,290.0*	*133,402.0*
+ Deferred Tax Assets	1,411.0	31.0	111.0	168.0	198.0	9.0	86.0	83.0	80.0	72.0
+ Derivative & Hedging Assets	—	—	0.0	261.0	1,727.0	211.0	28.0	424.0	87.0	876.0
+ Investments in Affiliates	1,674.0	1,560.0	6,245.0	3,695.0	1,780.0	6,168.0	3,533.0	1,251.0	295.0	1,106.0
+ Misc LT Assets	15,401.0	18,413.0	32,411.0	34,759.0	36,444.0	19,032.0	19,498.0	19,094.0	17,663.0	18,384.0
Total Noncurrent Assets	**365,452.0**	**364,951.0**	**480,437.0**	**496,908.0**	**473,753.0**	**380,854.0**	**369,745.0**	**370,602.0**	**363,627.0**	**371,466.0**
Total Assets	**403,821.0**	**444,097.0**	**531,864.0**	**551,669.0**	**525,761.0**	**551,622.0**	**402,853.0**	**407,060.0**	**394,795.0**	**420,198.0**
Liabilities & Shareholders' Equity										
+ Payables & Accruals	36,225.0	38,802.0	48,217.0	47,498.0	50,255.0	39,451.0	41,111.0	34,348.0	34,151.0	36,922.0
+ Accounts Payable	22,027.0	24,439.0	27,018.0	29,640.0	31,836.0	29,511.0	31,101.0	27,309.0	27,433.0	29,910.0
+ Accrued Taxes	2,079.0	1,262.0	1,179.0	1,212.0	—	—	798.0	1,022.0	1,301.0	585.0
+ Interest & Dividends Payable	5,031.0	5,731.0	6,411.0	6,279.0	6,195.0	6,187.0	4,174.0	4,207.0	4,047.0	4,350.0
+ Other Payables & Accruals	7,088.0	7,370.0	13,609.0	10,367.0	12,224.0	3,753.0	5,038.0	1,810.0	1,370.0	2,077.0
+ ST Debt	9,832.0	38,374.0	10,255.0	15,289.0	7,007.0	29,258.0	11,144.0	13,001.0	8,622.0	12,592.0
+ ST Borrowings	4.0	2.0	3,065.0	4.0	0.0	17,931.0	996.0	2,091.0	0.0	0.0
+ ST Lease Liabilities	—	—	—	3,613.0	3,726.0	3,520.0	3,717.0	3,707.0	3,712.0	3,771.0
+ *ST Finance Leases*	—	—	—	*162.0*	*189.0*	*127.0*	*170.0*	*183.0*	*179.0*	*190.0*
+ *ST Operating Leases*	—	—	—	*3,451.0*	*3,537.0*	*3,393.0*	*3,547.0*	*3,524.0*	*3,533.0*	*3,581.0*
+ Current Portion of LT Debt	9,828.0	38,372.0	7,190.0	11,672.0	3,281.0	7,807.0	6,431.0	7,203.0	4,910.0	8,821.0
+ Other ST Liabilities	4,519.0	4,213.0	5,948.0	6,124.0	6,176.0	37,521.0	3,918.0	3,778.0	4,099.0	4,266.0
+ Deferred Revenue	0.0	0.0	0.0	5,939.0	6,071.0	3,776.0	3,816.0	3,666.0	3,981.0	4,136.0
+ Derivatives & Hedging	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Discontinued Operations	—	—	—	—	—	33,555.0	0.0	0.0	—	—
+ Misc ST Liabilities	4,519.0	4,213.0	5,948.0	185.0	105.0	190.0	102.0	112.0	118.0	130.0
Total Current Liabilities	**50,576.0**	**81,389.0**	**64,420.0**	**68,911.0**	**63,438.0**	**106,230.0**	**56,173.0**	**51,127.0**	**46,872.0**	**53,780.0**
+ LT Debt	113,681.0	125,972.0	166,250.0	173,113.0	175,977.0	169,967.0	147,082.0	145,422.0	135,834.0	146,032.0
+ LT Borrowings	112,812.0	124,154.0	164,339.0	149,437.0	151,928.0	149,569.0	126,776.0	126,199.0	117,206.0	125,897.0
+ LT Lease Liabilities	869.0	1,818.0	1,911.0	23,676.0	24,049.0	20,398.0	20,306.0	19,223.0	18,628.0	20,135.0
+ *LT Finance Leases*	*869.0*	*1,818.0*	*1,911.0*	*1,872.0*	*1,847.0*	*1,442.0*	*1,647.0*	*1,655.0*	*1,237.0*	*1,192.0*
+ *LT Operating Leases*	—	—	—	*21,804.0*	*22,202.0*	*18,956.0*	*18,659.0*	*17,568.0*	*17,391.0*	*18,943.0*
+ Other LT Liabilities	115,454.0	94,729.0	107,310.0	107,711.0	107,106.0	91,570.0	93,141.0	91,096.0	91,864.0	91,894.0
+ Accrued Liabilities	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Pension Liabilities	33,578.0	31,775.0	19,218.0	18,788.0	18,276.0	12,560.0	7,260.0	8,734.0	9,025.0	8,478.0
+ Deferred Revenue	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Deferred Tax Liabilities	60,128.0	43,207.0	57,859.0	59,502.0	60,472.0	53,767.0	57,032.0	58,666.0	58,939.0	58,312.0
+ Derivatives & Hedging	3,881.0	1,321.0	2,604.0	3,282.0	1,823.0	3,170.0	6,033.0	3,603.0	4,163.0	2,050.0
+ Misc LT Liabilities	17,867.0	18,426.0	27,629.0	26,139.0	26,535.0	22,073.0	22,816.0	20,093.0	19,737.0	23,054.0
Total Noncurrent Liabilities	**229,135.0**	**220,701.0**	**273,560.0**	**280,824.0**	**283,083.0**	**261,537.0**	**240,223.0**	**236,518.0**	**227,698.0**	**237,926.0**
Total Liabilities	**279,711.0**	**302,090.0**	**337,980.0**	**349,735.0**	**346,521.0**	**367,767.0**	**296,396.0**	**287,645.0**	**274,570.0**	**291,706.0**
+ Preferred Equity and Hybrid Capital	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Share Capital & APIC	96,099.0	96,058.0	133,146.0	133,900.0	137,796.0	137,733.0	131,231.0	122,140.0	116,729.0	114,154.0
+ Common Stock	6,495.0	6,495.0	7,621.0	7,621.0	7,621.0	7,621.0	7,621.0	7,621.0	7,621.0	7,621.0
+ Additional Paid in Capital	89,604.0	89,563.0	125,525.0	126,279.0	130,175.0	130,112.0	123,610.0	114,519.0	109,108.0	106,533.0
- Treasury Stock	12,659.0	12,714.0	12,059.0	13,085.0	17,910.0	17,280.0	17,082.0	16,128.0	15,023.0	18,529.0
+ Retained Earnings	34,734.0	50,500.0	58,753.0	57,936.0	37,457.0	42,350.0	-19,415.0	-5,015.0	1,871.0	15,768.0
+ Other Equity	4,961.0	7,017.0	4,249.0	5,470.0	4,330.0	3,529.0	2,766.0	2,300.0	795.0	-860.0
Equity Before Minority Interest	**123,135.0**	**140,861.0**	**184,089.0**	**184,221.0**	**161,673.0**	**166,332.0**	**97,500.0**	**103,297.0**	**104,372.0**	**110,533.0**
+ Minority/Non Controlling Interest	975.0	1,146.0	9,795.0	17,713.0	17,567.0	17,523.0	8,957.0	16,118.0	15,853.0	17,959.0
Total Equity	**124,110.0**	**142,007.0**	**193,884.0**	**201,934.0**	**179,240.0**	**183,855.0**	**106,457.0**	**119,415.0**	**120,225.0**	**128,492.0**
Total Liabilities & Equity	**403,821.0**	**444,097.0**	**531,864.0**	**551,669.0**	**525,761.0**	**551,622.0**	**402,853.0**	**407,060.0**	**394,795.0**	**420,198.0**

C. Cash Flow Analysis

AT&T's cash flow profile remains one of the strongest components of the investment thesis. The company's subscription-based revenue model generates highly predictable operating cash flows, allowing management to simultaneously invest in network expansion, reduce debt and maintain attractive shareholder distributions.

Operating cash flow remains consistently strong throughout the forecast period, while disciplined capital expenditure supports continued fibre deployment and 5G network expansion without

compromising liquidity. As a result, **Free Cash Flow to the Firm is projected to remain above USD 11 billion throughout the forecast period**, demonstrating the company's continued ability to convert operating earnings into distributable cash. Stable working capital requirements further support cash generation, allowing free cash flow to remain resilient despite continued investment in long-term infrastructure assets.

The consistency of AT&T's free cash flow generation distinguishes the company from many capital-intensive businesses and provides investors with greater confidence in the sustainability of future dividends, continued deleveraging and long-term shareholder value creation.

AT&T Inc (T US) - Standardized

In Millions of USD except Per Share 12 Months Ending	FY 2017 12/31/2017	FY 2018 12/31/2018	FY 2019 12/31/2019	FY 2020 12/31/2020	FY 2021 12/31/2021	FY 2022 12/31/2022	FY 2023 12/31/2023	FY 2024 12/31/2024	FY 2025 12/31/2025	Last 12M 03/31/2026
Cash from Operating Activities										
+ Net Income	29,450.0	19,370.0	13,903.0	-5,176.0	20,081.0	-8,524.0	14,400.0	10,948.0	21,953.0	21,431.0
+ Depreciation & Amortization	24,387.0	28,430.0	28,217.0	28,516.0	17,852.0	18,021.0	18,777.0	20,580.0	20,886.0	20,662.0
+ Non-Cash Items	-14,879.0	5,680.0	19,022.0	31,678.0	3,220.0	27,371.0	7,461.0	8,313.0	-245.0	-2,801.0
+ Deferred Income Taxes	-15,940.0	4,931.0	1,806.0	1,675.0	7,412.0	2,975.0	3,037.0	1,570.0	2,226.0	
+ Other Non-Cash Adj	1,061.0	749.0	17,216.0	30,003.0	-4,192.0	24,396.0	4,424.0	6,743.0	-2,471.0	-5,027.0
+ Chg in Non-Cash Work Cap	-948.0	-9,878.0	-12,474.0	-11,888.0	-3,983.0	-1,056.0	-2,324.0	-1,070.0	-2,310.0	1,764.0
+ (Inc) Dec in Accts Receiv	-986.0	-1,580.0	2,812.0	2,216.0	-1,125.0	727.0	82.0	123.0	-1,526.0	-1,660.0
+ (Inc) Dec in Inventories	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	
+ Inc (Dec) in Other	38.0	-8,298.0	-15,286.0	-14,104.0	-2,858.0	-1,783.0	-2,406.0	-1,193.0	-784.0	3,424.0
+ Net Cash From Disc Ops	0.0	0.0	0.0	0.0	4,788.0	-3,789.0	0.0	0.0	0.0	-38.0
Cash from Operating Activities	**38,010.0**	**43,602.0**	**48,668.0**	**43,130.0**	**41,958.0**	**32,023.0**	**38,314.0**	**38,771.0**	**40,284.0**	**38,792.0**
Cash from Investing Activities										
+ Change in Fixed & Intang	-21,491.0	-19,103.0	-14,951.0	-12,034.0	-8,409.0	-19,427.0	-17,781.0	-20,188.0	-17,624.0	-17,607.0
+ Disp in Fixed & Intang	59.0	2,148.0	4,684.0	3,641.0	7,136.0	199.0	72.0	75.0	3,218.0	3,835.0
+ Disp of Fixed Prod Assets	*59.0*	*2,148.0*	*4,684.0*	*3,641.0*	*7,136.0*	*199.0*	*72.0*	*75.0*	*3,218.0*	*3,835.0*
+ Disp of Intangible Assets	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*
+ Acq of Fixed & Intang	-21,550.0	-21,251.0	-19,635.0	-15,675.0	-15,545.0	-19,626.0	-17,853.0	-20,263.0	-20,842.0	-21,442.0
+ Acq of Fixed Prod Assets	*-21,550.0*	*-21,251.0*	*-19,635.0*	*-15,675.0*	*-15,545.0*	*-19,626.0*	*-17,853.0*	*-20,263.0*	*-20,842.0*	*-21,442.0*
+ Acq of Intangible Assets	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*
+ Net Change in LT Investment	0.0	0.0	0.0	0.0	1,323.0	2,649.0	2,049.0	928.0	0.0	0.0
+ Dec in LT Investment	0.0	0.0	0.0	0.0	1,323.0	2,649.0	2,049.0	928.0	0.0	0.0
+ Inc in LT Investment	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Net Cash From Acq & Div	1,123.0	-43,309.0	-1,809.0	-1,851.0	-25,453.0	-10,200.0	-2,942.0	-380.0	-379.0	-3,033.0
+ Cash from Divestitures	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Cash for Acq of Subs	1,123.0	-43,309.0	-1,809.0	-1,851.0	-25,453.0	-10,200.0	-2,942.0	-380.0	-379.0	-3,033.0
+ Cash for JVs	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Other Investing Activities	1,425.0	-733.0	70.0	337.0	50.0	79.0	-986.0	2,150.0	-774.0	-663.0
+ Net Cash From Disc Ops	0.0	0.0	0.0	0.0	399.0	1,094.0	0.0	0.0	0.0	-4,171.0
Cash from Investing Activities	**-18,943.0**	**-63,145.0**	**-16,690.0**	**-13,548.0**	**-32,090.0**	**-25,805.0**	**-19,660.0**	**-17,490.0**	**-18,777.0**	**-25,474.0**
Cash from Financing Activities										
+ Dividends Paid	-12,038.0	-13,410.0	-14,888.0	-14,956.0	-15,068.0	-9,859.0	-8,136.0	-8,208.0	-8,180.0	-8,086.0
+ Cash From (Repayment) Debt	36,452.0	-9,349.0	-16,771.0	-10,986.0	22,579.0	-37,740.0	-1,093.0	-12,274.0	8,499.0	9,920.0
+ Cash From (Repay) ST Debt	-2.0	1,979.0	-3,168.0	-44.0	15,687.0	-15,601.0	947.0	-1,996.0	0.0	0.0
+ Cash From LT Debt	48,793.0	41,875.0	17,039.0	31,988.0	9,931.0	2,979.0	10,004.0	19.0	14,027.0	19,169.0
+ Repayments of LT Debt	-12,339.0	-53,203.0	-30,642.0	-42,930.0	-3,039.0	-25,118.0	-12,044.0	-10,297.0	-5,528.0	-9,249.0
+ Cash (Repurchase) of Equity	-430.0	136.0	7,254.0	455.0	-106.0	-862.0	1,627.0	-200.0	-4,398.0	-4,596.0
+ Increase in Capital Stock	33.0	745.0	9,671.0	5,953.0	96.0	28.0	7,154.0	15.0	2,242.0	2,226.0
+ Decrease in Capital Stock	-463.0	-609.0	-2,417.0	-5,498.0	-202.0	-890.0	-5,527.0	-215.0	-6,640.0	-6,822.0
+ Other Financing Activities	1,946.0	-3,366.0	-678.0	-6,520.0	-5,511.0	-11,103.0	-8,012.0	-4,026.0	-2,307.0	-5,168.0
+ Net Cash From Disc Ops	0.0	0.0	0.0	0.0	-316.0	35,823.0	0.0	0.0	0.0	0.0
Cash from Financing Activities	**25,930.0**	**-25,989.0**	**-25,083.0**	**-32,007.0**	**1,578.0**	**-23,741.0**	**-15,614.0**	**-24,708.0**	**-6,386.0**	**-7,930.0**
Effect of Foreign Exchange Rates	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Net Changes in Cash	**44,997.0**	**-45,532.0**	**6,895.0**	**-2,425.0**	**11,446.0**	**-17,523.0**	**3,040.0**	**-3,427.0**	**15,121.0**	**5,388.0**
Cash Paid for Taxes	**2,006.0**	**-354.0**	**1,421.0**	**993.0**	**252.0**	**592.0**	**1,599.0**	**2,456.0**	**1,353.0**	**1,343.0**
Cash Paid for Interest	**6,622.0**	**8,818.0**	**8,693.0**	**8,237.0**	**7,485.0**	**7,772.0**	**7,370.0**	**7,132.0**	**6,625.0**	**6,757.0**

D. Return on Capital Analysis

AT&T continues to demonstrate improving capital efficiency as management focuses on generating higher returns from its core telecommunications operations. Following the completion of its strategic restructuring, profitability has improved while shareholder capital is being utilised more efficiently. **Return on Common Equity improves to approximately 20.4%**, reflecting stronger earnings generation and improved operational performance.

In addition to improving shareholder returns, profitability ratios remain stable throughout the forecast period, indicating that continued investment in fibre infrastructure and wireless services is generating attractive long-term economic returns. The combination of improving return metrics, disciplined capital allocation and resilient cash flow generation supports management's objective of delivering sustainable value creation while maintaining financial flexibility. Although AT&T operates within a mature industry characterised by modest revenue growth, improving returns on capital demonstrate that

shareholder value is increasingly being driven by operational efficiency rather than aggressive expansion.

AT&T Inc (T US) - Profitability

In Millions of USD except Per Share 12 Months Ending	FY 2016 12/31/2016	FY 2017 12/31/2017	FY 2018 12/31/2018	FY 2019 12/31/2019	FY 2020 12/31/2020	FY 2021 12/31/2021	FY 2022 12/31/2022	FY 2023 12/31/2023	FY 2024 12/31/2024	FY 2025 12/31/2025
Returns										
Return on Common Equity	10.57	22.32	11.92	7.55	-3.10	12.12	-6.62	14.14	10.35	20.37
Return on Assets	3.22	6.95	3.97	2.57	-0.96	3.73	-1.79	3.56	2.73	5.39
Return on Capital	6.69	12.25	7.78	5.73	0.65	7.23	-0.69	7.70	6.35	10.61
Return on Invested Capital	5.39	9.84	4.84	5.45	0.89	3.55	-2.54	5.76	4.01	6.12

DISCOUNTED CASH FLOW VALUATION

A. Free Cash Flow Projection

The intrinsic valuation is based on a seven-year explicit forecast period, reflecting AT&T's expected operational performance and long-term cash-generating capability. Revenue is projected to increase steadily from **USD 125.6 billion in FY2025** to **USD 129.4 billion in FY2026**, **USD 132.3 billion in FY2027**, **USD 134.6 billion in FY2028**, before reaching approximately **USD 137–142 billion** over the remaining forecast period. Although revenue growth remains relatively modest, consistent with a mature telecommunications business, the company is expected to improve earnings quality through continued fibre expansion, wireless subscriber growth and disciplined cost management.

Gross profit is forecast to increase from **USD 74.8 billion in FY2025** to **USD 78.2 billion in FY2026**, **USD 81.6 billion in FY2027** and **USD 83.9 billion in FY2028**, while gross margins improve from **59.6%** to approximately **62.4%** during the forecast period. This improvement reflects management's continued focus on higher-margin connectivity services and operational efficiencies.

Free Cash Flow to the Firm remains the strongest component of the investment thesis. Following **USD 11.9 billion in FY2026**, free cash flow is projected to strengthen over the forecast period as profitability improves and capital allocation remains disciplined. Stable recurring subscription revenues and relatively predictable working capital requirements support sustained cash generation, enabling AT&T to continue reducing leverage while investing in strategic fibre and 5G infrastructure.

In Millions of USD		Dec 20 A	Dec 21 A	Dec 22 A	Dec 23 A	Dec 24 A	Dec 25 A	Dec 26 A	Dec 27 A	Dec 28 A	Dec 29 A	Dec 30 A	Dec 31 A	Year 5
Revenue (Estimate Comparable)		**171,760**	**134,038**	**120,741**	**122,428**	**122,336**	**125,648**	**129,395**	**132,287**	**134,582**	**137,646**	**141,039**	**142,459**	
Revenue (Adjusted)		**171,760**	**134,038**	**120,741**	**122,428**	**122,336**	**125,648**							
% YoY Growth	Edit Row			-10%	1%	0%	3%	3%	2%	2%	2%	2%	1%	
(-) Cost of Revenue		79,920	60,407	50,848	50,123	49,221	50,820	51,160	50,638	50,644	51,797	53,074	53,609	
(-) Cost of Revenue (GAAP)		79,920	60,407	50,848	50,123	49,221	50,820							
% of Revenue		47%	45%	42%	41%	40%	40%	40%	38%	38%	38%	38%	38%	
(=) Gross Profit		**91,840**	**73,631**	**69,893**	**72,305**	**73,115**	**74,828**	**78,236**	**81,649**	**83,937**	**85,848**	**87,965**	**88,850**	
% Margin	Edit Row	53%	55%	58%	59%	60%	60%	60%	62%	62%	62%	62%	62%	
(-) Operating Expenses/Income		64,111	47,480	46,557	47,682	48,855	60,822	50,523	52,140	52,099	53,285	54,599	55,149	
% of Revenue	Edit Row	37%	35%	39%	39%	40%	48%	39%	39%	39%	39%	39%	39%	
% YoY Growth			-26%	-2%	2%	2%	24%	-17%	3%	0%	2%	2%	1%	
(=) Operating Income		**27,729**	**26,151**	**23,336**	**24,623**	**24,260**	**14,006**	**27,712**	**29,509**	**31,838**	**32,563**	**33,366**	**33,701**	
% Margin		16%	20%	19%	20%	20%	11%	21%	22%	24%	24%	24%	24%	
(-) Tax on Operating Income		**(2,260)**	**4,977**	**3,724**	**4,789**	**4,586**	**1,806**	**4,913**	**5,265**	**5,907**	**5,894**	**5,864**	**6,053**	
% Tax Rate	Edit Row		17%	14%	21%	21%	16%	18%	18%	19%	18%	18%	18%	
(=) NOPAT		**29,989**	**21,174**	**19,612**	**19,834**	**19,674**	**12,200**	**22,799**	**24,244**	**25,931**	**26,669**	**27,502**	**27,649**	
% Margin		17%	16%	16%	16%	16%	10%	18%	18%	19%	19%	19%	19%	
(+) Depreciation & Amortization		28,516	17,852	18,021	18,777	20,580	20,886	20,297	20,336	20,249	20,147	20,225	20,384	
% of Revenue	Edit Row	17%	13%	15%	15%	17%	17%	16%	15%	15%	15%	14%	14%	
% YoY Growth			-37%	1%	4%	10%	1%	-3%	0%	0%	-1%	0%	1%	
(-) Capital Expenditure		15,675	15,545	19,626	17,853	20,263	20,842	22,659	22,731	22,819	22,557	21,866	20,046	
% of Revenue	Edit Row	9%	12%	16%	15%	17%	17%	18%	17%	17%	16%	16%	14%	
% YoY Growth			-1%	26%	-9%	13%	3%	9%	0%	0%	-1%	-3%	-8%	
(-) Changes in Net Working Capital		(3,172)	88,736	(90,195)	7,232	(1,990)	(310)	(1,156)	(1,002)	(800)	(5,317)	(6,078)	(7,297)	
% of Revenue	Edit Row	-2%	66%	-75%	6%	-2%	0%	-1%	-14%	-2%	-4%	-4%	-5%	
(+) Changes in Net Long Term Deferred Tax Liabilities		940	(6,516)	3,188	1,637	276	(619)	298	921	413	139	108	271	
% of Revenue	Edit Row	1%	-5%	3%	1%	0%	0%	0%	1%	0%	0%	0%	0%	
(+) Other User Estimated Non-Cash Adjustments								-	-	-	-	-	-	
% of Revenue	Edit Row							0%	0%	0%	0%	0%	0%	
(=) Free Cash Flow		**46,942**	**(71,771)**	**111,390**	**15,163**	**22,257**	**11,935**	**18,098**	**20,380**	**22,038**	**23,480**	**25,469**	**27,479**	**28,740**
% Margin	Edit Row	27%	-54%	92%	12%	18%	9%	14%	15%	16%	17%	18%	19%	
% YoY Growth			-253%	-255%	-86%	47%	-46%	52%	13%	8%	7%	8%	8%	

B. Estimation of WACC

Particulars	Weight	Cost	Wtd Avg
Equity	47.10%	7.70%	4.80%
Debt	53.40%	5.70%	3.10%
Preferred Equity	0.00%	0.00%	0.00%
WACC			**7.00%**

C. Terminal Cash Flow

The terminal value was estimated using the **Perpetuity Growth Method**, applying a **conservative perpetual growth rate of approximately 0.5%**. This assumption reflects the mature nature of the U.S. telecommunications industry, where long-term value creation is expected to be driven primarily through stable cash generation, operational efficiency and disciplined capital allocation rather than aggressive revenue expansion. The conservative terminal growth assumption also incorporates increasing competitive intensity, technological disruption and the capital-intensive nature of future network investment.

D. Enterprise Value

Enterprise value was determined by discounting forecast free cash flows over the explicit projection period together with the discounted terminal value using the company's estimated **WACC of 7%**. The valuation captures the intrinsic value generated by AT&T's recurring subscription revenues, expanding fibre infrastructure and sustainable operating cash flows while incorporating conservative long-term growth assumptions.

Perpetuity Growth Method - Value per Share	
Free Cash Flow at Year 5	28,740
WACC	7.0%
Perpetuity Growth Rate	0.5%
Perpetuity Value at End of Year 5	447,160
Present Value of Perpetuity (@ 7.0% WACC)	319,425
(+) Present Value of Free Cash Flows (@ 7.0% WACC)	96,162
(=) Current Enterprise Value	**415,587**
Short Term Debt	6,818
(+) Long Term Debt	150,496
(-) Cash and Marketable Securities	11,964
(-) Current Net Debt	145,350
(-) Current Preferred and Minority Interest	17,962
(=) Equity Value	252,275
Shares outstanding	6,948
Estimated Value per Share (USD)	**36.31**
Current Price (USD)	21.52
Estimated Upside	**69%**

E. Equity Value

The Discounted Cash Flow valuation estimates an intrinsic value of **USD 36.31 per share**, compared with the current market price of **USD 21.52**, implying an estimated upside potential of **69%**. The intrinsic valuation also exceeds the prevailing market consensus target price of **USD 29.59**, suggesting that the market continues to undervalue AT&T's long-term cash-generating capability and improving operational performance. Despite modest long-term revenue growth, the company's resilient free cash flow generation, improving profitability and continued deleveraging support a **BUY** recommendation based on its attractive risk-adjusted return profile.

MULTIPLE-BASED VALUATION (EV/EBITDA)

The relative valuation of AT&T was performed using the **Enterprise Value to EBITDA (EV/EBITDA)** multiple methodology, which estimates the company's intrinsic value by applying an appropriate market multiple to its forecast operating earnings. Unlike the Discounted Cash Flow model, which derives value from the company's future free cash flow generation, the EV/EBITDA approach reflects how comparable telecommunications companies are currently valued by the market.

Based on our valuation, the EV/EBITDA methodology estimates a fair value of approximately **USD 29.09 per share**, compared with the current market price of **USD 21.52**, representing an implied upside of approximately **35.2%**. Although this valuation is more conservative than the **Discounted Cash Flow valuation of USD 36.31 per share**, it remains broadly consistent with our positive investment thesis and indicates that AT&T continues to trade below its intrinsic value.

The difference between the two valuation methodologies primarily reflects the nature of the underlying approaches. The EV/EBITDA multiple captures prevailing market sentiment and current sector valuation multiples, whereas the Discounted Cash Flow model incorporates AT&T's long-term free cash flow generation, improving operating profitability and continued deleveraging strategy. Given the company's predictable subscription-based revenue model, resilient operating cash flows and expanding fibre infrastructure, we believe the intrinsic valuation provides a more comprehensive assessment of long-term shareholder value.

Importantly, both valuation methodologies indicate meaningful appreciation potential relative to the current market price. While the EV/EBITDA approach suggests a **35.2%** upside, the Discounted Cash Flow analysis indicates an upside of approximately **69%**, reinforcing our conviction that the market continues to undervalue AT&T's stable cash-generating capability and improving financial performance. Consequently, the consistency between both valuation approaches further strengthens our **BUY** recommendation and supports our view that AT&T represents an attractive long-term value investment.

(=) Free Cash Flow	**46,942**	**(71,771)**	**111,390**	**15,163**	**22,257**	**11,935**	**18,098**	**20,380**	**22,038**	**23,480**	**25,469**	**27,479**	**28,740**
% YoY Growth	27%	-54%	92%	12%	18%	9%	14%	15%	16%	17%	18%	19%	
		-253%	-255%	-86%	47%	-46%	52%	13%	8%	7%	8%	8%	
% of the Free Cash Flow to be discounted							46%	100%	100%	100%	100%	54%	
Period for Discount Factor (Mid-Year Convention)							0.23	0.96	1.96	2.96	3.96	4.73	
Discount Factor @ 7.0% WACC							0.98	0.94	0.88	0.82	0.77	0.73	
Present Value of Free Cash Flow (5 Years)							**8,202**	**19,105**	**19,315**	**19,240**	**19,512**	**10,789**	
EBITDA	56,245	44,003	41,357	43,400	44,840	34,892	48,009	49,845	52,087	52,710	53,590	54,086	53,858

EBITDA Multiple Method - Value per Share	
Terminal EBITDA at Year 5	53,858
WACC	7.0%
Exit Enterprise Value / EBITDA	7.0x
Terminal Value at End of Year 5	377,003
Present Value of Terminal Value (@ 7.0% WACC)	269,309
(+) Present Value of Free Cash Flows (@ 7.0% WACC)	96,162
(=) Current Enterprise Value	**365,471.4**
Short Term Debt	6,818
(+) Long Term Debt	150,496
(-) Cash and Marketable Securities	11,964
(-) Current Net Debt	145,350
(-) Current Preferred and Minority Interest	17,962
(=) Equity Value	202,159
Shares outstanding	6,948
Estimated Value per Share (USD)	**29.09**
Current Price (USD)	21.52
Estimated Upside	**35%**

RISK ASSESSMENT

Despite AT&T's attractive valuation and strong cash-generating capability, several company-specific risks could affect its future financial performance and intrinsic value.

A. Operational Risk

AT&T's long-term growth is dependent on the successful execution of its fibre expansion and 5G deployment strategy. Delays in network deployment, slower-than-expected subscriber additions, or increased customer churn could reduce revenue growth and limit future operating margin expansion.

B. Financial Risk

Although the company has made significant progress in reducing leverage, AT&T continues to operate with a relatively high debt burden compared with many large-cap companies. Rising interest rates or refinancing at less favourable borrowing costs could increase financing expenses and reduce future free cash flow generation.

C. Competitive Risk

The U.S. telecommunications industry remains highly competitive, with Verizon and T-Mobile continuing to compete aggressively through pricing, promotional offers and network investment. Sustained competitive pressure could negatively impact subscriber growth, pricing power and long-term profitability. In addition, emerging technologies such as satellite-based broadband services may gradually increase competition within selected broadband markets.

D. Valuation Risk

Our valuation is sensitive to assumptions regarding future free cash flow generation, discount rates and terminal growth. While both the Discounted Cash Flow and EV/EBITDA valuation approaches indicate that AT&T is undervalued, adverse changes in macroeconomic conditions or lower-than-expected operating performance could reduce the company's intrinsic value.

CONCLUSION

AT&T represents an attractive long-term investment opportunity supported by resilient operating fundamentals, predictable recurring cash flows and continued improvements in operational efficiency. The company's strategic focus on wireless and fibre connectivity, disciplined capital allocation and ongoing debt reduction has strengthened its financial position while enhancing its long-term earnings quality.

Our valuation supports a positive investment outlook. The **Discounted Cash Flow valuation estimates an intrinsic value of USD 36.31 per share**, representing an upside of approximately **69%**, while the **EV/EBITDA valuation estimates a fair value of USD 29.09 per share**, implying an upside of approximately **35.2%**. The consistency between both valuation approaches reinforces our conviction that AT&T remains undervalued relative to its long-term intrinsic value.

Considering the company's improving financial performance, sustainable free cash flow generation and attractive valuation, we assign a **BUY** recommendation with a **three to five-year investment horizon**, as we believe AT&T offers an attractive combination of capital appreciation, stable dividend income and defensive characteristics within a diversified value-oriented portfolio.